MICROECONOMICS

MICRO-18

Time: 5 minutes

Outcome: Distinguish Economic Costs: Explicit, Implicit & Opportunity Cost.

Difficulty: ●●○ Intermediate

Economic Costs: Explicit, Implicit & Opportunity Cost

THE CORE IDEA

Economic cost includes both explicit payments and the implicit opportunity costs of owner-supplied resources. Explicit costs require cash payments to outside suppliers, while implicit costs measure the value of income or returns forgone by using the owner's time, money, or property in the business. Economic decisions count both because every resource has a next-best use.

HOW TO RECOGNIZE IT

- Classify cash payments to outside suppliers as explicit costs.
- Identify the income or return sacrificed on owner-supplied time, money, or property as an implicit cost.
- Economic cost includes both explicit and implicit opportunity costs.
- Do not treat an owner-supplied resource as free merely because no check is written.

WATCH OUT

A common mistake is to count only recorded expense. Economic cost equals explicit cost plus all implicit opportunity costs: $70,000 + $40,000 + $5,000.

WORKED EXAMPLE: COUNTING OPPORTUNITY COSTS

A business pays $70,000 in wages and rent. The owner also gives up a $40,000 salary and $5,000 of interest that invested capital could have earned elsewhere. Explicit cost is $70,000; implicit cost is $45,000; economic cost is $70,000 + $45,000 = $115,000.

CHECK YOURSELF

Which cost belongs in economic cost but not recorded accounting cost?

READY? **Return to the game and master this concept.**